

The Local Housing Allowance (LHA) Gap

Benefit Adequacy and Regional Divergence in the English Private Rental Market , 2015-2026.

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RESEARCH QUESTION

The Local Housing Allowance (LHA) outlines the maximum housing benefit which can be paid toward private rents. However, LHA rates are periodically frozen, even as rents in the private market continue to rise. This project asks how the gap between LHA rates and actual private market rents has evolved across English regions since 2015, and, what the gap's trajectory reveals about the effect of freezing a benefit rate against a moving benchmark of private rents.

DATA

Two official series were combined at England's nine Government Office Regions, the finest level common to both sources, since ONS does not publish its private rent index at the more granular BRMA level. LHA rates, set at BRMA level, were therefore aggregated up to the regional level to match the ONS regional rent series.

- **Rents:** ONS Price Index of Private Rents, monthly regional series, 2015–2026 (one-bed category).
- **Benefit rates:** DWP LHA Category B (one-bed) rates – a combined historical file covering 2015-16 to 2021-22, plus individual official tables for each of 2022-23 through 2025-26.
- 152 BRMAs were mapped to region and aggregated to an unweighted regional mean (population and housing-stock weights were not available, so this is a simplified estimate rather than a precise one), then converted from weekly to monthly to match the rent series.
- **Final panel:** 1,224 region-month observations across 9 regions, of which 1,188 entered the estimation sample (36 fall outside the LHA series' coverage: 27 before it begins in 2015-16, 9 after the latest available table, 2025-26); scope is limited to England only.

METHOD

The gap (market rent minus LHA rate) was modelled as a function of a linear time trend. Region fixed effects were included to control for permanent level differences between regions, and standard errors were clustered by region to allow for serial correlation within each region's monthly series. The model was estimated in R with the fixest package:

$$Gap_{it} = \beta \cdot time_t + \alpha \cdot region_i + \epsilon_{it} \mid \text{region fixed effects, SEs clustered by region}$$

FINDINGS

The gap between market rents and LHA widens by an average of £17.46 per month, per year (SE £1.16, $p < 0.001$). The model accounts for the large majority of variation in the data.

+£17.46/yr TREND COEFFICIENT	0.937 ADJ. R ²	0.603 WITHIN R ²	1,188 OBSERVATIONS	9 REGIONS (FE)
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The trend is not smooth, since the national average gap (Figure 1) shows sharp resets in 2020 and 2024, where the gap suddenly narrows before widening again. This is consistent with the timing of the actual dates the UK government raised LHA, rather than a gradual policy response to rents. There is substantial regional divergence (Figure 2): London's gap has grown fastest and furthest in absolute terms, while regions such as the North East and West Midlands show a flatter, though still widening, trajectory; this indicates that a uniform national freeze produces very unequal real-terms effects across England.

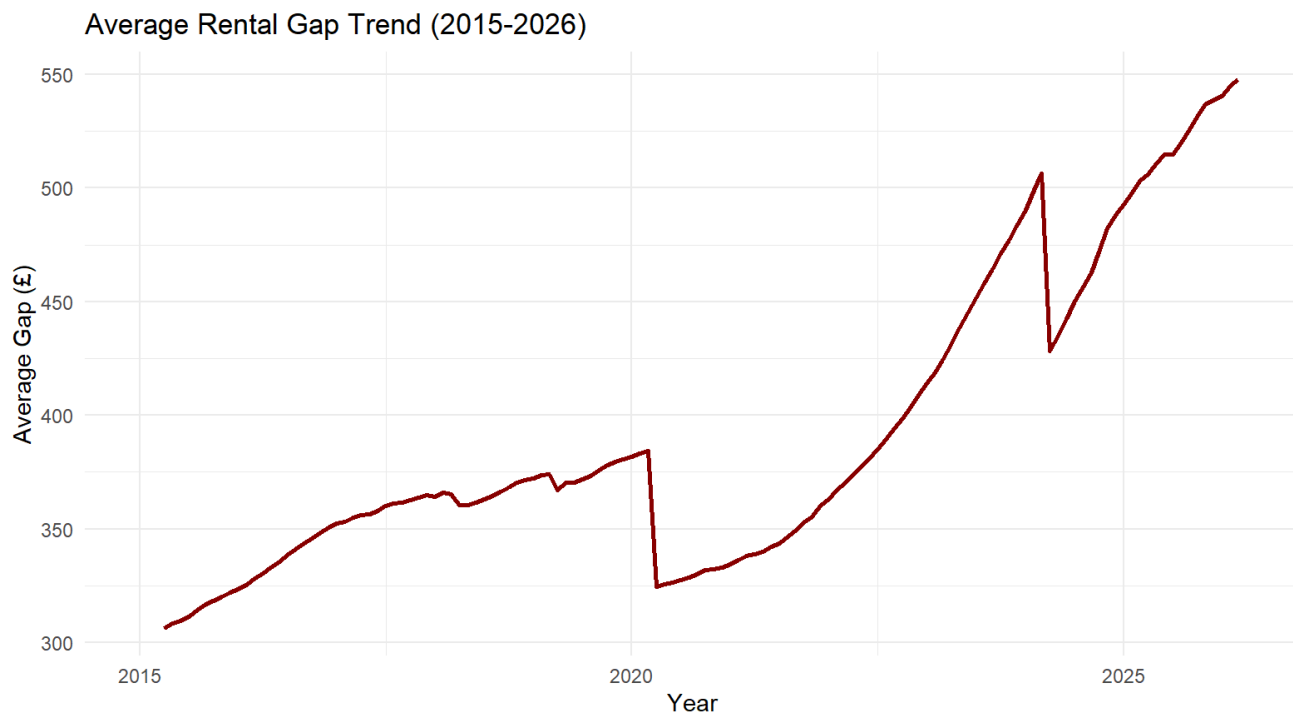


Figure 1. National average gap between private market rent and LHA, 2015-2026 (£/month). Sharp drops mark LHA upratings after periods of LHA freezes.

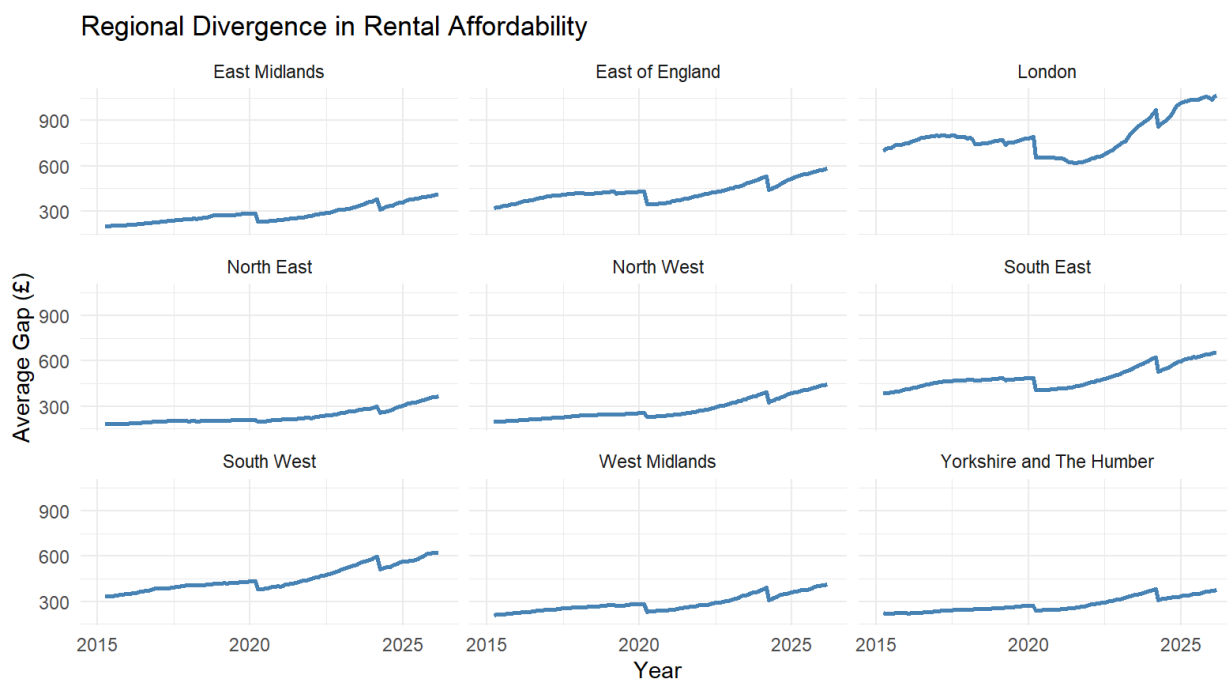


Figure 2. Regional divergence in the rent-LHA gap. London's gap grows fastest and furthest in absolute terms; other regional gaps widen more gradually.

RELEVANCE

These patterns speak directly to the policy questions facing UK welfare and housing analysts. For example, how benefit uprating decisions (or their absence) align with whether the benefit keeps pace with what claimants actually need to pay in rent, and how a nationally-set rate interacts with regionally divergent markets. This analysis mirrors the kind of distributional and regional evidence produced by DWP, HM Treasury, and organisations such as Resolution Foundation and IFS when assessing benefit adequacy and uprating policy.

Caveats: regional aggregation of BRMAs is unweighted, so variation within regions is not captured; the analysis is descriptive of the gap's evolution rather than causally identifying claimant-level effects; scope is limited to England, where consistent regional geography is available in both source series.

Full code, data-cleaning pipeline and econometric analysis available on GitHub:

https://github.com/sophia-adams1/housing_benefit_gap

Sources: ONS Price Index of Private Rents; DWP Local Housing Allowance rates.